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ANIPAL GROUP CHAIRMAN Ranjan Pai recently emerged as the saviour for two prominent privately-held start-ups, Byju's and PharmEasy. With an infusion of ₹1,400 crore into Byju's subsidiary, Aakash Educational Services, and a substantial pledge of ₹1,300 crore for PharmEasy's rights issue, Pai deftly averted impending debt threats for both entities. However, these rescue missions were not without their nuances—marked by significant valuation markdowns and the concession of attractive terms, including multiple board seats. The once-soaring trajectories of these category-leading start-ups, now grappling with debt challenges, cast a discerning spotlight on the looming debt crisis within India's dynamic start-up landscape.

A lot of it can be attributed to the 2021 funding frenzy and the subsequent deceleration, leaving several Indian unicorns—start-ups with a valuation of \$1 billion or more—with a substantial debt burden on their cap tables. According to PrivateCircle Research, a private market intelligence platform, 115 unicorns have collectively amassed over ₹50,000 crore of debt in 2022 alone, and for many, the burn of this debt burden is already being felt.

As the spectre of mounting debt looms over these businesses, it serves as a marker

of their evolution, having attained significant size, scale, and valuation in recent years. However, the intricate and convoluted debt structures they adopt, via various debt instruments including term loans, convertible notes, and structured transactions, raise a critical question about the viability of debt for start-ups. Many of these ventures, having envisioned a path to liquidity through an IPO (initial public offering) or a large equity infusion, secured debt financing with specific objectives in mind, such as to avoid an equity event just before an IPO, adjusting the capital structure, or complying with statutory requirements to increase ownership to send the right signals.

However, financial cycles change, and they change quick and fast. A host of global macro events, leading to an excruciating funding slowdown from the second half of 2022, have thrown these strategies into disarray. A lot of the debt-related challenges stem from delayed IPOs and anticipated funding rounds, resulting in the unfortunate reality that debt, needing repayment, becomes harder to refinance if collateral is impaired or the company's valuation takes a hit. This predicament often forces companies into a cycle of raising more equity on increasingly burdensome terms—a

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BREAKING POINT

► Delay in IPOs and funding rounds, resulting from a funding slowdown and macroeconomic shifts, lies at the core of the debt crisis

► Byju's and PharmEasy sought funding at considerably reduced valuations to meet debt obligations

► Start-ups resort to risky debt instruments to sidestep dilution, preserving their valuation in anticipation of a more favourable funding round

► For loss-making start-ups, banking on debt to be covered by future equity funding is a risky move with little control